

Types of Bank Accounts :

Types of Bank Deposit and their Key Features
Savings Bank (SB) Account
• Low interest, however, highly liquid. • Facilitates payment mechanism through Automated Teller Machines (ATMs). • No Tax deducted at Source (TDS) on interest on SB account balance, but taxable in the hands of depositor. • Account can be opened in single name or joint names. In the case of joint account, the operation of the account can be done by any one account holder or jointly. • Minors of any age can also open a savings bank account through their natural or legally appointed guardian. Minors above age of 10 years can also avail additional banking facilities like internet banking, ATM/ debit card, cheque book facility, etc.
Basic Savings Bank Deposit Account (BSBDA)
• Introduced to promote financial inclusion. • Zero balance savings account without any requirement of an initial deposit can be opened for individuals and also minors (through their guardian). • Relaxed conditions for number of deposits/ withdrawals in a month. • ATM Card, passbooks are issued free of charge. • BSDBA account holders are not eligible for opening any other savings bank deposit account in that bank.
Fixed Deposit (FD) Account
• Involves placing funds with the bank for a fixed term at a certain interest rate. • Interest accrued or earned on FD is subject to Tax Deducted at Source (TDS) beyond a stipulated amount. • Senior citizens may get extra benefits on the interest rate. • Tenure and rate of interest on FDs varies from bank to bank.
Recurring Deposit (RD) Account
• A fixed amount is deposited at monthly intervals for a predetermined term. • Earns higher interest than savings bank account. • TDS applicable on interest accrued or earned beyond a stipulated amount. • Senior citizens may get extra benefits on the interest rate. • Tenure and rate of interest on RDs varies from bank to bank.
Special Bank Term Deposit Scheme
• Tax savings scheme available with banks. • Relief under Section 80C of the Income Tax Act, 1961. • Term deposit with 5 years lock in period. • No premature withdrawal/loan allowed.

Current Account

These accounts are not used for the purpose of savings.

Some important pointers related to the current bank account are,

- This type of bank account is mostly opened by businessmen. Associations, Institutions, Companies, Religious Institutions and other business-related works, the current account can be opened
- There is no fixed number of times that money can either be deposited or withdrawn from such accounts
- Internet banking is available
- This type of bank account does not have any fixed maturity
- Overdraft facility is available for current bank accounts
- There is no interest that is paid on such accounts

DEMAT Account

Shares and securities which can be held in electronic format constitute the DEMAT account. The DEMAT account also stands for Dematerialized Account.

Some important pointers related to the DEMAT account are,

- There are only two depository organisations which manage this type of bank account in India. This includes: National Securities Depository Limited and Central Depository Services Limited
- This helps facilitate easy trade of bonds and shares
- Helps in conducting stress-free transaction of shares
- KYC is required for opening the DEMAT Account
- Traders can work from anywhere
- The transfer of securities can be done with reduced paperwork

NRI Account

What is an NRI Account?

- In India, there are three types of accounts that Non-Resident Indians (NRIs) can open – NRE Account, NRO Account, and FCNR (B) Account.
- These NRI accounts can only be opened by individuals who have been residing out of the geographical territories of India for at least 120 days in a year and spent less than 365 days in India in four previous years. It is because such individuals' residential status would then change to an NRI, as per the Income Tax Act 1961. However, if an individual leaves India with the purpose of employment in a different nation, he/she shall be declared NRI immediately.
- As per another condition, the individual must stay for less than 4 years out of 10 previous years in India to classify as a non-resident Indian. This was a tweak introduced in the Union Budget 2020, whereby the earlier classification considered 2 years instead of 4 and 182 days instead of 120 for the purpose.
- It is essential for NRIs to understand the various characteristic features of the three bank accounts which are available to them in India. This facilitates the fulfilment of their investment objectives, financial obligations, and plans for their residency adequately.
- NRIs can open these accounts with their earnings either originating from within India or from their country of residence, depending on the type of NRI account.

Types of NRI Accounts

- As mentioned earlier, there are three types of accounts available to NRIs in India – NRE stands for Non-Resident External Account, NRO stands for Non-Resident Ordinary Account, and FCNR (Foreign Currency Non-Resident) bank Account.
 - The fundamental distinction points among these types of accounts are enumerated below –
1. Non-Residential External or NRE Account can be opened and maintained by NRIs with earnings originating from the respective individual's country of residence but shall be held in Indian rupee denominations.

- For better understanding, let's consider the following instance – Ms. Avantika is employed in Paris, France, but her mother, who is a dependent individual, stays in Mumbai. She remits 2000 euros every month in her NRE Account for her mother, which is deposited in the account in Indian currency. Therefore, considering the prevailing exchange rate in that month was 1 EUR = 80 INR, her remittance of 2000 Euro would be held as Rs. 1,60,000 in her NRE Account.
2. An NRO or Non-Residential Ordinary Account can be opened with income earned from within India and shall be held in that deposit account in INR denominations. The source of income can either be rent, dividends, etc.
 - For instance, Mr. Rahul, who is an NRI residing in Newark, USA has an apartment in Mumbai which he has leased to Mr. Arman. To receive rent earnings from such a lease, Rahul has to open an NRO account where Arman shall deposit the stipulated rent amount periodically.
 - As deposits in an NRO account are made in rupee denominations, there is no step of currency conversion involved.
 3. FCNR (Foreign Currency Non-Resident) Account – This type of account can be opened to manage an international currency. It can only be in the form of Term deposit and can be withdrawn after the maturity period only.

Q.1. What is the different type of bank accounts?

Ans. The different types of bank accounts are – Savings Account, Current Account, Recurring Deposit Account, Fixed Deposit Account, DEMAT Account, NRI Account.

Q.2. What is the full form of DEMAT account?

Ans. The DEMAT account also stands for Dematerialized Account.

Q.3. What is a DEMAT Account?

Ans. Shares and securities which can be held in electronic format constitute the DEMAT account. There are only two depository organisations which manage this type of bank account in India. This includes: National Securities Depository Limited and Central Depository Services Limited

Q.4. How many types of NRI accounts are there?

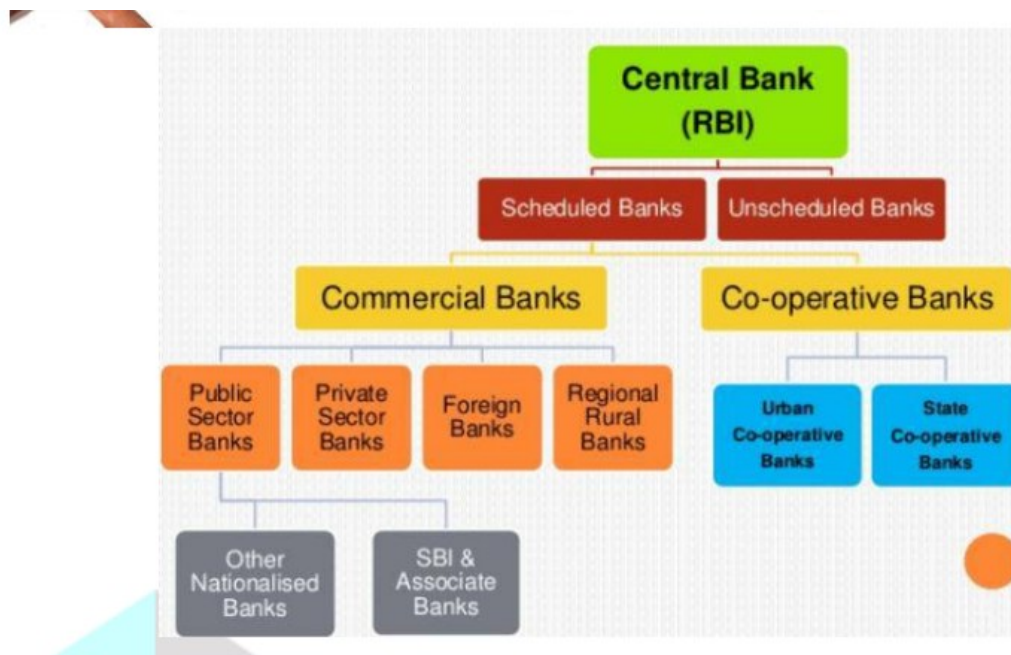
Ans. NRI Bank Accounts are further classified into three types – NRO (Non-Resident Ordinary Rupees) Account, NRE (Non-Resident External Rupees) Account, and FCNR (Foreign Currency Non-Resident) Account.

Q 5. What type of bank accounts are best for everyday transactions?

Ans. Current accounts are best for day to day transactions as there is no fixed number of times that money can either be deposited or withdrawn from such accounts. These accounts are not for saving purposes and are mostly opened by businessmen.

Roles & Functions of Reserve Bank of India

Roles & Functions of Reserve Bank of India - India is one of the fastest growing economies in the world, with a population over 1.2 Billion, has become the hub for global investment. There are various factors that influence and control Indian economy, one such being, The RBI, one of the oldest institutions behind the success of our economy. **The RBI is the backbone of Indian economy and because of it, growth in Exports, FOREX, Capital Markets and other sectors of the economy are all happening.** It plays an important role in strengthening, developing and diversifying the country's economic and financial structure. It is the apex bank in the Indian Banking System.



The Reserve Bank of India (RBI) is India's Central banking institution, which controls the monetary policy of the Indian rupee. The Reserve Bank of India was established on April 1, 1935, in accordance with the provisions of the Reserve Bank of India Act, 1934. Though originally privately owned, since nationalisation in 1949, the Reserve Bank is fully owned by the Government of India.

The RBI has four zonal offices at:

1. Chennai
2. Delhi
3. Kolkata
4. Mumbai

RBI has regional offices and Sub-offices.

The Reserve Bank of India has offices at 33 locations.

To see the Profile of the office, choose the city in the map.

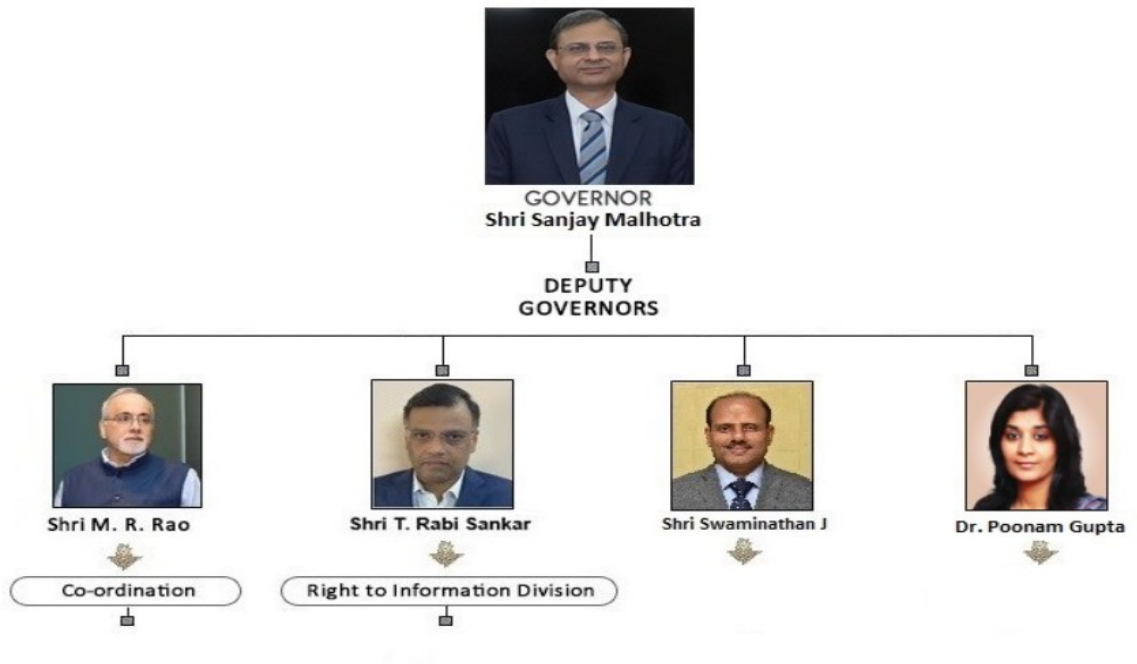


Organizational Structure of RBI:

- The Reserve Bank's affairs are governed by a central board of directors. The board is appointed by the Government of India for a period of four years.
- Full-time officials: Governor and not more than four Deputy Governors. The current Governor of RBI is_____.
- There are 4 Deputy Governors.
- Nominated by Government: ten Directors from various fields and two government Officials
- Others: four Directors – one each from four local boards.



ORGANISATION STRUCTURE : CENTRAL BOARD OF DIRECTORS



Role of RBI in Economic Development

1. Development of banking system
2. Development of financial institutions
3. Development of backward areas
4. Economic stability
5. Economic growth
6. Proper interest rate structure

Main Functions of Reserve Bank of India

Monetary authority:

Formulates, implements, and monitors the monetary policy.

Objective: Maintaining price stability while keeping in mind the objective of growth.

Regulator and supervisor of the financial system:

Prescribes broad parameters of banking operations within which the country's banking and financial system functions.

Objective: Maintaining public confidence in the system, protect depositors' interest and provide cost-effective banking services to the public.

Manager of Foreign Exchange

Manages the Foreign Exchange Management Act, 1999.

Objective: Facilitating external trade and payment and promote orderly development and maintenance of foreign exchange market in India.

Issuer of currency:

Issues, exchanges and destroys currency notes as well as puts into circulation coins minted by Government of India.

Objective: to give the public adequate quantity of supplies of currency notes and coins and in good quality.

Developmental role

Performs a wide range of promotional functions to support national objectives.

Regulator and supervisor of payment and settlement systems:

Introduces and upgrades safe and efficient modes of payment systems in the country to meet the requirements of the public at large.

Objective: Maintaining public confidence in the payment and settlement system.

Related Functions

Banker to the Government: performs merchant banking function for the central and the state governments; also acts as their banker.

Banker to banks: maintains banking accounts of all scheduled banks.

INDIAS BANKING STRUCTURE

What is Banking System in India?

Banking System in India or Indian Banking System or Banking Sector in India refers to a network of financial institutions, such as banks and credit unions, that handle financial transactions and provide financial services to individuals, businesses, and governments. These institutions, primarily, act as intermediaries between people with money i.e. savers, and those who need money i.e. borrowers. The types of services offered by the banking institutions, usually, include accepting deposits, lending money, facilitating transactions, and offering various financial products like savings accounts, loans, and credit cards.

Classification of Banks in India

Banking System in India, can be divided into two categories – Scheduled Banks and Non-Scheduled Banks.

A. Scheduled Banks

Scheduled Banks under the Banking System in India refer to those financial institutions that are **listed in the 2nd Schedule of the Reserve Bank of India Act, 1934**. This inclusion signifies that they meet specific criteria set by the RBI and are subject to its stricter regulations.

A bank to be listed in the schedule has to satisfy the following 2 conditions:

1. It should have paid-up capital and reserves of not less than 5 lacs, and
2. It should satisfy the RBI that their affairs are not being conducted in a harmful manner to the interest of their depositors.

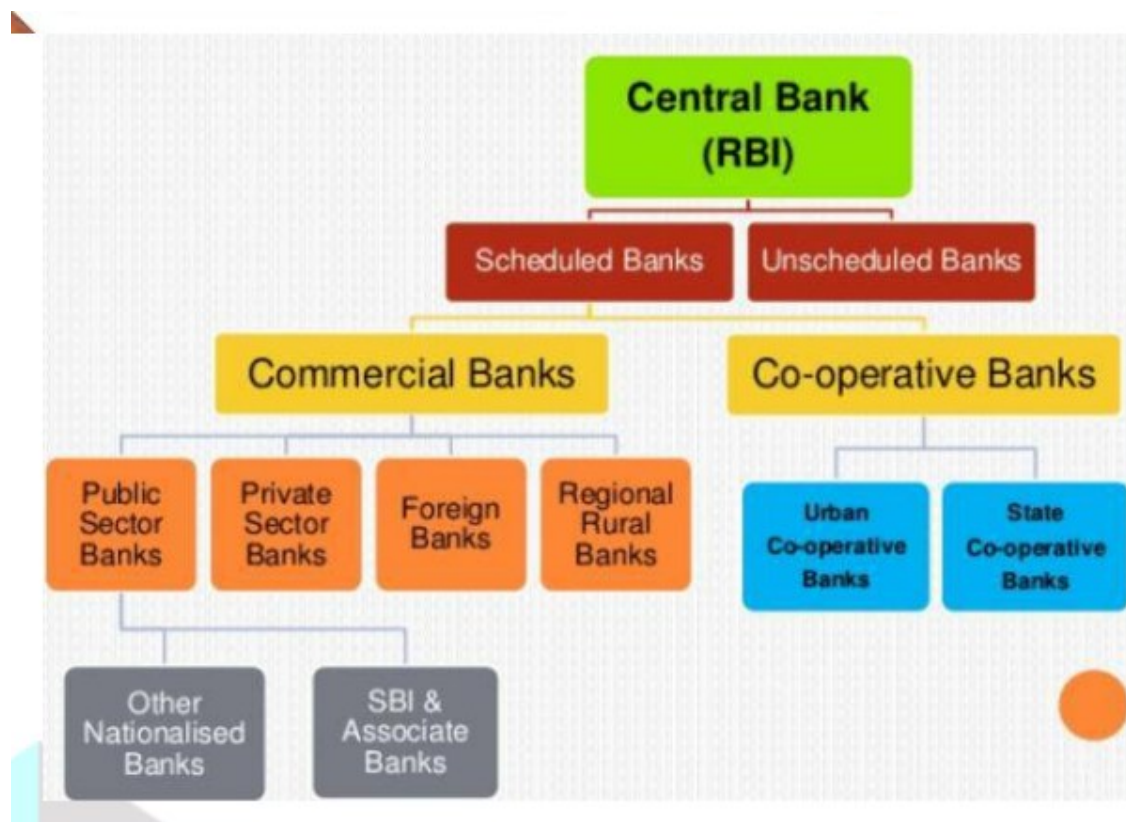
If any Scheduled Bank violates these conditions, it gets de-listed from the schedule.

A Scheduled Bank gets the following **benefits**:

- Facility of loans on Bank Rate from RBI.
- Automatic membership of Clearing House.
- Facility of Re-Discount of first-class exchange bills from RBI.

B. Non-Scheduled Banks

- Non-Scheduled Banks under the Banking System in India refer to those financial institutions that don't meet the criteria to be included in the 2nd Schedule of the Reserve Bank of India Act, 1934. Being excluded from the schedule means they operate under a different set of regulations as compared to Scheduled Banks.



Difference between Scheduled Banks and Non-Scheduled Banks

Basis of Difference	Scheduled Banks	Non-Scheduled Banks
Meaning	A banking company under the Banking System in India which is listed in the second schedule of the RBI Act 1934.	A banking company under the Banking System in India that is not mentioned in the second schedule of the RBI Act 1934.
Criteria	– Should have a paid-up capital of ` 5 lakhs or more. – Have to ensure that its affairs are not conducted in a manner detrimental to the interest of its depositors.	– No fixed criteria as such.
Regulatory Requirements	– Have to keep CRR deposits with the Reserve Bank of India. – Required to file their returns on a periodic basis.	– Have to maintain CRR deposits with themselves. – No requirements of filing returns as such.
Rights Available	– Authorized to borrow funds from the RBI. – Can apply to join the clearinghouse. – Can avail of the facility of rediscount of first-class exchange bills from RBI.	– Usually, not authorized to borrow funds from the RBI. However, they can borrow from the RBI under emergency conditions. – Not eligible for membership in the clearinghouse. – Facility of rediscounting exchange bills from RBI is not available for them.
Risk	They are financially stable and are unlikely to hurt the rights of the depositors.	These banks are riskier to do business.
Examples	Most of the banks under the Banking System in India are Scheduled Banks. For example, Commercial Banks, Private, and Public Sector Banks.	Only a few types of banks under the Banking System in India are Non-Scheduled Banks. For example, Local Area Banks (LABs), and some Urban Cooperative Banks (UCBs).

Difference between NBFCs and Banks

Banks	Non-Banking Financial Companies (NBFCs)
Banks can accept Demand Deposits	NBFCs cannot accept Demand Deposits.
Banks are a part of the Payment and Settlement System (PSS), and hence can issue cheques drawn on itself.	NBFCs do not form a part of the Payment and Settlement System (PSS), and hence cannot issue cheques drawn on itself.
Bank Deposits are insured by the Deposit Insurance and Credit Guarantee Corporation (DICGC) .	Deposit insurance facility of Deposit Insurance and Credit Guarantee Corporation is not available to depositors of NBFCs.
Banks are required to maintain Reserve Ratios prescribed by the RBI, such as CRR, SLR, etc.	NBFCs are not required to maintain Reserve Ratios prescribed by the RBI, such as CRR, SLR, etc.
Banks are regulated under Banking Regulation Act, 1949.	NBFCs are regulated under Companies Act, 1956.
FDI is allowed upto 74% for Private Sector Banks.	FDI is allowed upto 100% for NBFCs.